Q17

Insurance companies' financial statements contain estimates of the liabilities associated with insured risks, some of which will not crystalise for several years into the future. [1]

In preparing financial statements, the companies must estimate the costs of servicing those policies and report those in the calculation of the profit for the year. [1]

A prudent approach is necessary because any understatement of the costs or liabilities could create a false sense of security on the part of the stakeholders. [1]

Overstating profits could lead to unrealistic demands for dividends, which could prove reckless if costs exceed expectations. [1]

It would be preferable to report the lowest reasonable estimate of profit and for any corrections to result in additional profit when the overprovision is resolved. [1]

[Maximum 5]

[Total 5]

Commentary:
This question was answered well by many candidates. Candidates showed a good understanding of insurance company accounts and managed to discuss prudence in the context of insurance company accounts.

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